Annex II. Public Sector Debt Sustainability Analysis

Public debt is expected to remain sustainable assuming the recovery after Winston is completed in 2018, GDP growth is broadly in line with potential growth, and a gradual medium-term fiscal consolidation progresses. Under the baseline, the public debt-to-GDP ratio is forecast to stabilize around 46 percent of GDP by 2022. Future natural disasters and their associated fiscal costs are the major risk to the public debt outlook.

The public debt-to-GDP ratio of the central government has been on a declining trend since 2010 (Figure 3, bottom left), reaching 46 percent of GDP by end July 2017. Domestic debt accounted for 70 percent of total debt and external debt for the remaining 30 percent. Short-term debt was less than 3 percent of total debt.

The baseline scenario assumes that the output gap will close in 2018 and GDP growth will be around 3– 3.5 percent in the medium-term, in line with estimates of potential growth (Box 1). The primary balance will improve significantly once the reconstruction from Winston is completed but the interest-growth differential will gradually worsen.

Under the baseline scenario the debt-to-GDP ratio peaks in 2018 at 47 percent of GDP before stabilizing around 46 percent of GDP by 2022.

The constant primary balance scenario shows the debt-to-GDP ratio increasing steadily in the medium term to 48 percent in 2022, putting debt sustainability at risk.

The historical scenario shows the debt-to-GDP ratio declining more rapidly (compared to the baseline) to 42 percent of GDP by 2022. Although GDP growth is lower than in the baseline, the projected average primary balance offsets that and puts debt on a downward path. The average primary balance during 2007–16 was 1.3 percent of GDP, much higher than the projected average primary balance under the baseline during 2018–22 (-0.1 percent of GDP).

The natural disaster scenario assumes that a shock hits in 2019 slowing down GDP growth and temporarily increasing the primary deficit by 4 percent of GDP in 2019–20. The debt-to-GDP ratio jumps to 52 percent of GDP in 2020 and remains above 50 percent by 2022, putting debt sustainability at risk.

This natural disaster scenario suggests that adopting fiscal consolidation measures after the reconstruction is completed and putting debt on a clear downward path would help the economy to be more resilient to eventual adverse shocks.

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Fiji: Public Sector Debt Sustainability Analysis (DSA) – Baseline Scenario

(in percent of GDP unless otherwise indicated)

Debt, Economic and Market Indicators [1/]

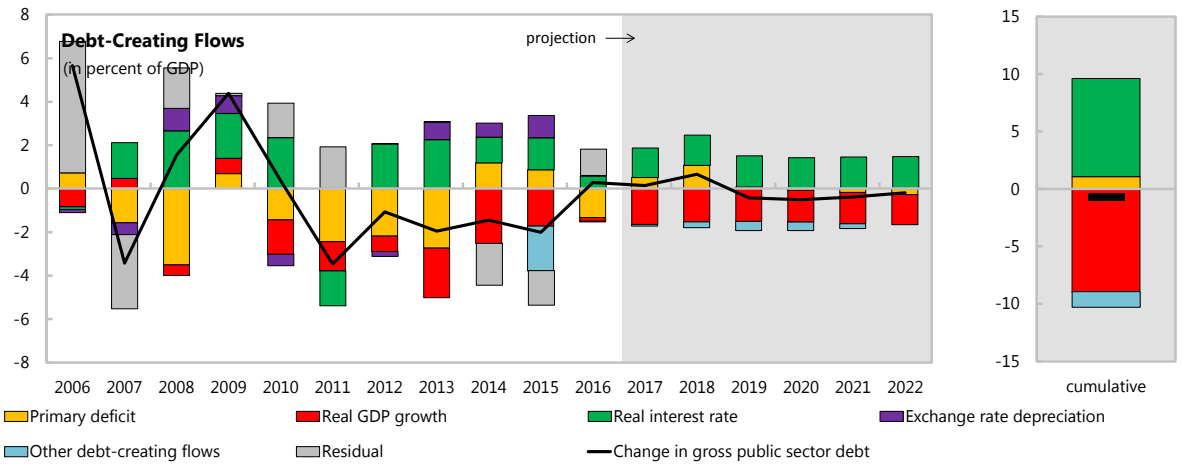
	Actual			Projections					
	2006-2014 [2/]	2015	2016	2017	2018	2019	2020	2021	2022
Nominal gross public debt	52.1	46.2	46.5	46.6	47.3	46.9	46.4	46.0	45.8
Public gross financing needs	12.9	14.9	4.4	5.2	6.9	6.1	8.9	5.7	5.4
Real GDP growth (in percent)	2.0	3.8	0.4	3.8	3.5	3.4	3.3	3.3	3.2
Inflation (GDP deflator, in percent)	3.9	3.7	4.9	3.0	3.0	3.0	3.1	3.1	3.1
Nominal GDP growth (in percent)	5.9	8.1	6.9	6.9	6.6	6.5	6.5	6.5	6.4
Effective interest rate (in percent) [4/]	6.8	7.1	6.3	6.2	6.3	6.3	6.4	6.5	6.6

As of December 11, 2017

Sovereign Spreads		
Bond Spread (bp) 3/		360
5Y CDS (bp)		n.a.
Ratings	Foreign	Local
Moody's	Ba3	Ba3
S&Ps	B+	B+
Fitch	n.a.	n.a.

Contribution to Changes in Public Debt

	Actual			Projections							
	2006-2014	2015	2016	2017	2018	2019	2020	2021	2022	cumulative	debt-stabilizing primary balance [9/]
Change in gross public sector debt	0.1	-2.0	0.3	0.1	0.7	-0.4	-0.5	-0.4	-0.2	-0.7	0.1
Identified debt-creating flows	-0.6	-0.4	-0.9	0.1	0.7	-0.4	-0.5	-0.4	-0.2	-0.7	
Primary deficit	-1.3	0.9	-1.3	0.5	1.1	0.1	-0.1	-0.2	-0.3	1.1	
Primary (noninterest) revenue and grants	25.4	27.9	27.5	28.1	28.5	27.9	28.0	28.1	28.1	168.8	
Primary (noninterest) expenditure	24.2	28.8	26.2	28.6	29.6	28.0	27.9	27.9	27.8	169.9	
Automatic debt dynamics [5/]	0.6	0.8	0.4	-0.3	-0.1	-0.1	0.0	0.0	0.1	-0.4	
Interest rate/growth differential [6/]	0.4	-0.3	0.4	-0.3	-0.1	-0.1	0.0	0.0	0.1	-0.4	
Of which: real interest rate	1.4	1.5	0.6	1.4	1.4	1.4	1.4	1.5	1.5	8.5	
Of which: real GDP growth	-1.0	-1.7	-0.2	-1.7	-1.5	-1.5	-1.5	-1.4	-1.4	-9.0	
Exchange rate depreciation [7/]	0.2	1.0	0.0	...	...	...	...	...	...	...	
Other identified debt-creating flows	0.0	-2.1	0.0	-0.1	-0.3	-0.4	-0.4	-0.2	0.0	-1.4	
Please specify (1) (e.g., privatization rece	0.0	-2.1	0.0	-0.1	-0.3	-0.4	-0.4	-0.2	0.0	-1.4	
Contingent liabilities	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Please specify (2) (e.g., other debt flows)	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	0.0	
Residual, including asset changes [8/]	0.7	-1.6	1.2	0.0	0.0	0.0	0.0	0.0	0.0	0.0	



Source: IMF staff.

1/ Public sector is defined as central government.

2/ Based on available data.

3/ Long-term bond spread over U.S. bonds (bp).

4/ Defined as interest payments divided by debt stock (excluding guarantees) at the end of previous year.

5/ Derived as [r - π(1+g) - g + ae(1+r)]/(1+g+π+gπ) times previous period debt ratio, with r = effective nominal interest rate; π = growth rate of GDP deflator; g = real GDP growth rate; a = share of foreign-currency denominated debt; and e = nominal exchange rate depreciation (measured by increase in local currency value of U.S. dollar).

6/ The real interest rate contribution is derived from the numerator in footnote 5 as r - π (1+g) and the real growth contribution as -g.

7/ The exchange rate contribution is derived from the numerator in footnote 5 as ae(1+r).

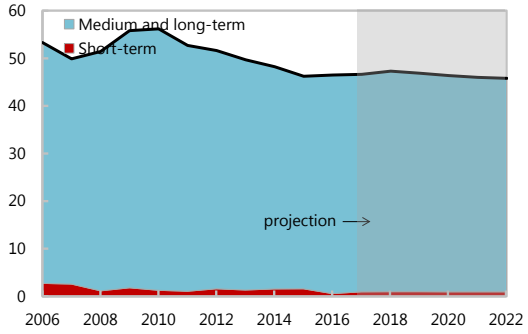
8/ Includes asset changes and interest revenues (if any). For projections, includes exchange rate changes during the projection period.

9/ Assumes that key variables (real GDP growth, real interest rate, and other identified debt-creating flows) remain at the level of the last projection year.

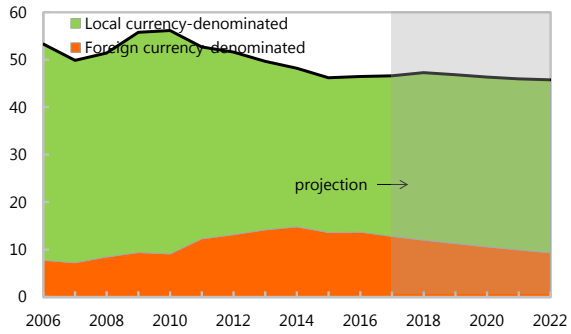
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Fiji: Public DSA – Composition of Public Debt and Alternative Scenarios

By Maturity
(in percent of GDP)



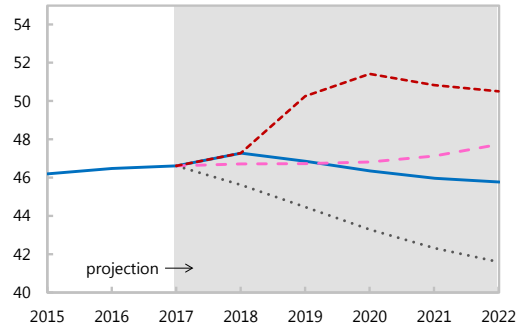
By Currency
(in percent of GDP)



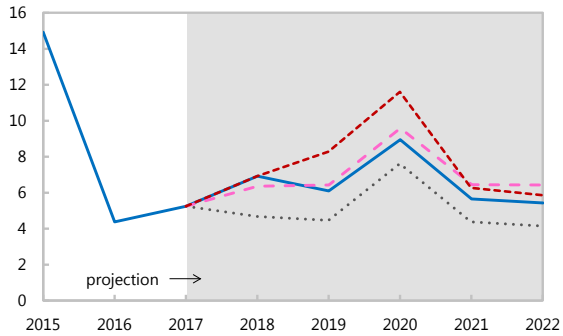
Alternative Scenarios

Baseline
Historical
Constant Primary Balance
Natural Disaster

Gross Nominal Public Debt [1/]
(in percent of GDP)



Public Gross Financing Needs
(in percent of GDP)



Underlying Assumptions
(in percent)

Baseline Scenario	2017	2018	2019	2020	2021	2022
Real GDP growth	3.8	3.5	3.4	3.3	3.3	3.2
Inflation	3.0	3.0	3.0	3.1	3.1	3.1
Primary Balance	-0.5	-1.1	-0.1	0.1	0.2	0.3
Effective interest rate	6.2	6.3	6.3	6.4	6.5	6.6
Constant Primary Balance Scenario						
Real GDP growth	3.8	3.5	3.4	3.3	3.3	3.2
Inflation	3.0	3.0	3.0	3.1	3.1	3.1
Primary Balance	-0.5	-0.5	-0.5	-0.5	-0.5	-0.5
Effective interest rate	6.2	6.3	6.3	6.4	6.5	6.6

Historical Scenario	2017	2018	2019	2020	2021	2022
Real GDP growth	3.8	2.0	2.0	2.0	2.0	2.0
Inflation	3.0	3.0	3.0	3.1	3.1	3.1
Primary Balance	-0.5	1.3	1.3	1.3	1.3	1.3
Effective interest rate	6.2	6.3	6.3	6.4	6.5	6.5
Natural Disaster Scenario						
Real GDP growth	3.8	3.5	0.4	4.0	3.7	3.5
Inflation	3.0	3.0	3.0	3.1	3.1	3.1
Primary Balance	-0.5	-1.1	-2.1	-1.9	0.2	0.3
Effective interest rate	6.2	6.3	6.3	6.4	6.5	6.6

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